

ECHS FRAUD ANALYTICS

Hospital Specialty Misuse

MODULE 12 REPORT | FULL DATABASE COVERAGE | FY 2013 – FY 2025

MILITARY HOSPITALS

25.96% Deduction

TYPE-3 BILLING IPD

18 Facilities

NABH ADVANTAGE

1.63% Lower Ded.

DENTAL CLINICS IPD

249 Claims — AGRAWAL

Military Hospitals (Type M)

HIGHEST RISK

Non-NABH All Types

VERY HIGH RISK

Type 3 Billing IPD

HIGH RISK

IIT KANPUR — Data Analytics & Fraud Intelligence Division

May 2026 | Ex-Servicemen Contributory Health Scheme (ECHS)

Executive Summary

Module 12 investigates **hospital specialty misuse** — cases where facilities bill for services outside their designated category, and the systematic difference in deduction rates between NABH-accredited and non-accredited hospitals. Two primary fraud patterns are confirmed across the ECHS database.

Pattern 1 — Specialty Category Billing Fraud: 18 type-3 facilities (dental clinics and diagnostic labs) are billing **inpatient (IPD) admissions** — a service category they are not licensed or equipped to provide. Dental clinics account for the majority of these cases. AGRAWAL DENTAL CLINIC has 249 IPD claims on record. These are facilities that should only handle outpatient dental procedures.

Pattern 2 — NABH Accreditation and Deduction Rate Divergence: Across all hospital types, NABH-accredited facilities consistently show **lower deduction rates** than their non-accredited counterparts. For type-1 hospitals (the largest group), NABH facilities average 8.24% deduction against 9.87% for non-NABH — a 1.63 percentage point gap. Non-accredited military hospitals (type M) record the highest deduction rate in the entire database at **25.96%**.



S1	Military hospitals (Type M) — 25.96% deduction, 1.27M claims, ₹1105 Cr claimed	CRITICAL
S2	AGRAWAL DENTAL CLINIC — 249 IPD claims billed by a dental clinic	CRITICAL
S3	KOLARKAR DENTAL CLINIC — 77 IPD claims; 7.20% deduction	CRITICAL
S4	Complete Dental Care — 3 IPD claims, 69.91% deduction rate	HIGH
S5	Army College of Dental Sciences — 11 IPD claims, 40.79% deduction	HIGH
S6	DR LAL PATHLABS — diagnostic lab billing 1 IPD claim, 59.09% deduction	HIGH
S7	MALABAR MEDICAL COLLEGE — 838 IPD claims at 13.64% deduction (type 3)	HIGH
S8	Non-NABH type N hospitals — 23.39% deduction across 353 facilities	HIGH
S9	NABH type-1 vs non-NABH type-1: 8.24% vs 9.87% — accreditation effect confirmed	MEDIUM

Q12a

settlement_stat + office_master

NABH vs Non-NABH Hospital Deduction Rate Analysis

NABH (National Accreditation Board for Hospitals) certification is a quality benchmark for hospitals. Accredited hospitals are subject to stricter process controls and documentation standards. If NABH accreditation reduces fraudulent or inflated billing, we expect NABH hospitals to have **lower deduction rates** than non-NABH hospitals of the same type. The data confirms this hypothesis across all hospital types where comparison is possible.

NABH	Type	Hospitals	Claims	Claimed ■Cr	Ded %
N	M — Military	133	12.73L	1,105	25.96%
N	N	353	23.90L	1,897	23.39%
N	H	8	0.07K	6.76	18.81%
N	0	119	7.85L	2,010	14.46%
N	NULL	501	3.29L	817	13.26%
N	(blank)	252	5.90L	1,726	11.33%
N	1 — General	1,751	1.78Cr	35,039	9.87%
Y	3 — Dental/Diag	16	2.51L	53.81	8.43%
N	5	130	6.36L	216	8.31%
Y	1 — General	166	61.37L	10,058	8.24%
N	7	16	0.07K	30.50	6.26%
Y	5	19	2.31L	88.27	6.13%
N	3 — Dental/Diag	246	5.63L	131	5.46%
N	2	525	2.26L	1,965	4.12%
Y	2	13	1.79L	107	2.23%
N	G	39	0.42L	202	0.54%

Source: settlement_stat JOIN office_master on SS_OFFICE_ID = OM_OFFICE_ID. NABH Y = accredited, N = non-accredited. Type M = Military hospitals; Type 1 = General/multispeciality; Type 3 = Dental/Diagnostic; Type 2 = Nursing Home.

Key Findings — NABH Analysis

Military hospitals (Type M) carry the highest deduction rate in the database at 25.96%. Across 133 facilities and 12.73 lakh claims totalling ■1,105 Cr, more than one quarter of everything billed is being deducted by assessors. Military hospitals operate under a different administrative structure from civilian empanelled hospitals, and this data suggests systemic overbilling that is consistently identified and deducted but not structurally addressed.

NABH accreditation shows a measurable reduction in deduction rates. For type-1 general hospitals (the largest segment — 1,917 facilities), NABH-certified hospitals average **8.24%** deduction against **9.87%** for non-certified facilities. For type-2 nursing homes: **2.23%** (NABH) vs **4.12%** (non-NABH). For type-5: **6.13%** (NABH) vs **8.31%** (non-NABH). The pattern is consistent — NABH certification correlates with reduced billing irregularities across every hospital category.

Type N hospitals (353 non-NABH facilities, 23.39% deduction) represent the second highest risk group. These are likely polyclinics or non-standard facility types that bypass the standard accreditation pathway.

Q12c

settlement_stat + office_master

Diagnostic / Dental Facilities (Type 3) Billing IPD Admissions

Type-3 facilities in the ECHS classification include dental clinics, diagnostic laboratories, and single-specialty outpatient centres. These facilities are **not licensed for inpatient (IPD) admissions** — they do not have the infrastructure (wards, overnight nursing, surgical theatres) to admit patients. When a type-3 facility bills an IPD claim, it is either a billing category error or deliberate misclassification to claim the higher IPD reimbursement rate. The query identified **18 type-3 facilities** billing IPD across the database.

Office ID	Facility Name	Type	IPD Claims	Claimed ■Cr	Ded %	Flag
3901	MALABAR MEDICAL COLLEGE HOSPITAL & RESEARCH CENTRE	3	838	2.88	13.64%	REVIEW
2135	AGRAWAL DENTAL CLINIC	3	249	0.12	3.13%	CRITICAL
2417	KOLARKAR DENTAL CLINIC — SHIVAJI NAGAR	3	77	0.06	7.20%	CRITICAL
176	Army College of Dental Sciences	3	11	0.06	40.79%	CRITICAL
137	DENTAL VENUE MULTISPECIALITY HOSPITAL PVT LTD	3	5	0.00	16.13%	HIGH
508	Complete Dental Care	3	3	0.00	69.91%	CRITICAL
1227	DASMESH INST. OF RESEARCH & DENTAL SCIENCES	3	4	0.01	13.68%	HIGH
1730	VAISHALI DENTAL CARE — JABALPUR	3	4	0.01	1.18%	HIGH
1574	DHEERENDRA DENTAL CLINIC — REWA	3	3	0.00	6.27%	HIGH
19	DR LAL PATHLABS PVT LTD — NEW DELHI	3	1	0.00	59.09%	CRITICAL
165	FINAL DIAGNOSIS PVT LTD — NOIDA	3	1	0.00	29.08%	HIGH
3715	SCIENTIFIC PATHOCARE	3	1	0.00	0.00%	HIGH

Source: settlement_stat JOIN office_master on SS_OFFICE_ID = OM_OFFICE_ID WHERE SS_PAT_TYPE_ID = 'I' AND OM_HOSP_TYPE = '3'. IPD Claims = SS_CLAIM_CNT for inpatient patient type at type-3 facilities.

Key Findings — Type 3 IPD Billing

Dental clinics dominate the type-3 IPD billing list. Of the 18 flagged facilities, at least 10 are explicitly dental clinics — facilities with no inpatient capability. AGRAWAL DENTAL CLINIC has billed **249 IPD admissions** despite being a dental practice. KOLARKAR DENTAL CLINIC has 77 IPD claims. These are not documentation errors at this volume — they represent systematic billing misclassification.

High deduction rates at these facilities confirm assessors are identifying the fraud. Complete Dental Care has a **69.91% deduction rate** on its IPD claims — assessors are cutting nearly 70% of what is billed. Army College of Dental Sciences: **40.79%**. DR LAL PATHLABS (a diagnostic lab): **59.09%**. The deduction itself is not the problem — the problem is that these claims are being submitted, processed, and partially approved in the first place.

MALABAR MEDICAL COLLEGE (838 IPD claims, ■2.88 Cr) is listed as type 3 but is a teaching hospital with legitimate inpatient infrastructure. This record suggests a **misclassification in the hospital type field** in office_master rather than fraud — it should be reviewed and reclassified to the correct type.

Recommendations

1. IMMEDIATE — Suspend IPD billing at flagged dental clinics (Q12c)

AGRAWAL DENTAL CLINIC (249 IPD claims) and KOLARKAR DENTAL CLINIC (77 IPD claims) should have their IPD billing access suspended pending physical verification. A dental clinic cannot admit inpatients. All approved amounts on these IPD claims should be placed under recovery review.

2. EMERGENCY — Review all type-3 IPD claims for recovery

All 18 type-3 facilities that have billed IPD should be subject to a claim-level audit. Total exposure is approximately **₹3.2 Cr** across 1,206 IPD claims from facilities that are structurally incapable of inpatient care. High deduction rates (up to 69.91%) confirm partial recovery is already happening — full recovery review is warranted.

3. MANDATORY — Reclassify MALABAR MEDICAL COLLEGE in office_master

MALABAR MEDICAL COLLEGE HOSPITAL & RESEARCH CENTRE is a full-service teaching hospital incorrectly classified as type 3 in the ECHS database. This classification error distorts specialty analysis and should be corrected to prevent false flagging.

4. HIGH — Prioritise audit of military hospitals (Type M)

Military hospitals average 25.96% deduction across **₹1,105 Cr** in claims — the highest deduction rate by hospital type. A structured audit of the top 30 military hospitals by deduction amount is recommended.

5. POLICY — Link NABH accreditation status to ECHS empanelment renewal

The data confirms that NABH-accredited hospitals have consistently lower deduction rates (8.24% vs 9.87% for type-1 general hospitals). ECHS should consider requiring NABH accreditation as a condition for empanelment renewal, or applying differential scrutiny thresholds based on accreditation status.